barriers of other nations. But the plain truth was that all of us were protectionist to some extent.

I've mentioned how most countries (including ours) subsidized farmers, resulting in production of more grain and certain other farm commodities than the market can absorb, often depressing export prices to less than the cost of production. Every country (including ours) imposes barriers to free trade that are intended to protect or subsidize particular industries, usually because of domestic political pressure from groups that have a vested interest in limiting competition. Barriers are also sometimes imposed to retaliate against the protectionism of another nation.

When I came to the White House in 1981, I had hopes of making international trade freer and fairer. We made substantial headway: We concluded a bilateral trade agreement with Canada, our largest trading partner, that created the largest open market in the world. We reduced barriers restricting trade with Israel and Mexico and, to a limited extent, with several other countries. In 1986, we and our major trading partners opened a historic round of multinational trade negotiations under the General Agreement on Tariffs and Trade (GATT) aimed at virtually eliminating agricultural subsidies worldwide over a ten-year period (it would have been impossible to move faster without pulling the rug out from under farmers and industries whose livelihoods were geared to existing protectionism).

At each economic summit, I could feel the mood shift more strongly in favor of free trade, although we all realized that as a practical matter there were limits to the pace with which we could disturb the status quo. Even with Japan, with whom we have the greatest imbalance of trade and have had perhaps the most difficult trading relations, we made limited progress: Following Japan's 1981 voluntary cutback of car exports, Prime Minister Nakasone stuck out his